

since the September 1981 low at Dow 800. I have kept those figures for almost ten years, and they have been highly reliable. *The prevailing psychology is an expression of the cumulative experience of the past 16 years.* It is typical that such sentiment occurs just prior to the onset of a third wave up.

After watching market behavior closely for fourteen years, I feel that these developments are, if anything, a *requirement* in the market's preparation for takeoff. Whatever the cause of the bearish sentiment, it doesn't matter. That fact is that it is there, and for that reason, most of the selling which is to be done has already occurred. Whether the market drops below the August 19 [1985] low is irrelevant. Such action (along with, perhaps, some "surprise" bad news) will only serve to keep the sentiment figures at levels compatible with a major bear market low.

According to the current polls of investment advisors, there is more skepticism with regard to the market now, at 1550, than there was in the summer of 1983 at 1250! The simple answer to that mystery is that in 1983, the market was at a Primary wave top. 1550, then, is not a Primary wave top.

Some who called for a big bear market in September are trying to justify missing the rally by claiming that the average portfolio has not kept pace with the Dow. Do not be misled by this claim. *The Wall Street Journal* reported on December 19 that the latest poll of 2000 money managers finds that while most of them underperformed the S&P 500 index in 1985, it was only because of their inordinately high cash reserves. In the aggregate, their stock holdings for 1985 outperformed the S&P 500 index for the first time in three years! In other words, this data confirms our position on two fronts: (1) This is a great bull market in stocks, and (2) the majority lost out only because they were bearish and underinvested.

By the end of 1985, psychology was still skeptical and bearish, but the stock market had nevertheless captured people's *attention*. *The Wall Street Journal* for the first time ever became the largest circulation daily newspaper in the world. In years past, the fastest growing magazine circulations were for titles such as *Life*, *Time*, *Newsweek* and *People*. By year-end 1985, the fastest growing of all major magazines in the previous twelve months was *Money*. Its circulation by then had climbed to over 1 million, it pulled in \$25m. of ad revenue yearly, and its newsstand sales alone in the first half of 1985 were more than those for *Time*, *Fortune*, *Forbes* and *Newsweek* combined. (Needless to say, its circulation today is far higher.) A headline in the 10/8/85 *USA Today* noted that "Youth Rocks to the